EXECUTIVE SUMMARY

I. Introduction

The Municipality of Alcala was established as a regular municipality by virtue of a Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as a third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

II. Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala Cagayan for CY 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with and whether government undertakings, systems, operations, programs, activities, or organizations are operating in accordance with the principles of economy, efficiency and effectiveness and whether there is room for improvement. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Operational and Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the Municipality of Alcala for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase (Decrease)
Financial Position			
Total Assets	P540,446,380.30	P524,872,311.06	**P15,574,069.24**
Liabilities	39,302,987.01	43,115,849.46	**(3,812,862.45)**
Total Government Equity	501,143,393.29	481,756,461.60	**P19,386,931.69**
Results of Operations			
Total Revenues	201,133,940.76	246,348,606.41	**P(45,214,665.65)**
Total Expenses	197,033,423.92	187,110,434.29	**9,922,989.63**
Net Income	P4,100,516.84	P59,238,172.12	**P(55,137,655.28)**

IV. Operational Highlights

The LGU - Alcala is headed by the Municipal Mayor, Honorable Cristina I. Antonio, and Vice-Mayor, Honorable Joy C. Duruin and includes various officers and employees, as follows:

Position/Designation	Number of personnel complements
Elective Officials	12
Co-terminus Employees	6
Permanent Employees	85
Casual Employees	4
Contract of Service	197

In addition, the Municipality of Alcala had accomplished 47.73 percent significant and developmental projects in Calendar Year 2023, with a total cost of P41,305,767.47.

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2023 due to various accounts which are materially misstated by an aggregate amount of P5,578,153.26 on account of errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Alcala disclosed misstatements totaling P5,578,153.26 in absolute value as follows:

Account	Asset	Liability	Prior Period Adjustment/ Revenue/ Expense	Total
Property, Plant and Equipment	P5,556,246.49	P0.00	P0.00	P5,556,246.49
Depreciation – Infrastructure Assets	0.00	0.00	21,906.77	21,906.77
Total	**P5,556,246.49**	**P0.00**	**P21,906.77**	**P5,578,153.26**

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Alcala are as follows:

1. Other Receivables totaling P6.665 million have remained unsettled or unliquidated for seven (7) years or more, thus may result to loss of government fund.

We recommended that Management undertake actions to ensure settlement of receivables in favor of the LGU by issuing demand letters to the officials of Alcala Tobacco Farmers Cooperative, concerned accountable officials, former employees, and contractor, urging immediate settlement of their liabilities to the LGU to prevent loss of government fund.

2. The acquisition of lots by the LGU Alcala with a total cost of P0.366 million, for the implementation of different projects, were not supported with complete documentation.

   We recommended that Management:

   a. require the Municipal Accountant and the Municipal Assessor's Officer to submit the lacking documents on the purchased of lots pursuant to COA Circular COA Circular No. 2012-001 dated June 14, 2012 to ensure that the disbursements are valid, legal and appropriate; and

   b. enjoin all concerned officials not to approve the transactions and disbursements of government funds without the availability of basic documentary requirements outlined in the aforementioned Circular.

3. The LGU was not able to implement 19 programs/projects/activities (PPAs) as at year-end, with a total appropriation of P5.650 million funded under the 20% Development Fund (DF) of the LGU for the years 2021 to 2023. The delayed or non-implementation of PPAs deprives the constituents of socio-economic benefits that they could have enjoyed if these projects were implemented as planned.

   We recommended that Management:

   a. ensure that all identified development projects embodied in the Annual Investment Program are supported with concrete plans and designs, without any hindering issues and procurement-and-implementation-ready, including conduct of detailed engineering for infrastructure projects, in order to complete them within the target completion date to maximize the benefit for its intended beneficiaries;

   b. prepare a holistic and comprehensive but realistic catch-up plan, after conducting proper monitoring and follow-up activities, to expedite the project implementation of PPAs funded especially from prior years' appropriation, which are still at the agency pipeline, to reduce backlogs;

   c. review the balances of the continuing appropriations as part of the annual budget preparation process and consider the need for reprogramming of the PPAs from prior years' appropriations, where necessary, after determination of a more relevant and responsive and procurement-and-implementation-ready projects that may be included under the 20% Development Fund of the Municipality in adherence with applicable laws, rules and regulations; and

d. require a certification from the Engineering Office that the detailed engineering surveys and designs have been conducted for infrastructures projects to ensure readiness of the procurement at hand, pursuant to Item 5 of Annex A of the revised IRR of RA 9184.

4. Thirteen (13) unserviceable Property, Plant and Equipment (PPE) totaling to P3.047 million remained undisposed as of December 31, 2023.

   We recommended the Management to undertake the procedures for the proper disposal of the identified unserviceable properties in accordance with the relevant laws, rules and regulations and, after disposal of unserviceable properties, prepare the necessary adjusting entries to record the disposal and derecognize the disposed properties, to gain optimal benefits for the LGU.

5. Thirteen (13) contracts were entered into by the Municipality of Alcala without requiring the submission of performance security from contractors which is not in compliance with Section 39.1 of the 2016 Revised IRR of RA 9184. Moreover, eight (8) contracts with late Performance Security were submitted beyond the 10-day period after receipt of Notice of Award which is not in consonance with Section 37.2.1 of the same IRR.

   We recommended that the Management require the BAC to require the submission of Performance Security from the winning bidder before signing the contract and ensure that the performance security is submitted within 10 calendar days from the receipt of Notice of Award in compliance with Section 37.2.1 and 39.1 of the 2016 Revised IRR of RA 9184.

VII. Summary of Total Suspensions, Disallowances and Charges

For the year 2023, the summary of total suspensions, disallowances, and charges shows a beginning balance of zero across all categories, with no new suspensions, disallowances, or charges issued. As a result, the ending balance for each category remained zero.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

Implemented		10
Not Implemented	2	
Not Implemented and Reiterated in Part II of CY 2023 AAR	3	5
Total		15